

If a company cannot sell at a higher price, its competitive advantage should allow it to sell more. Or, the advantage should attract sustainable sales for the product.

Charge more

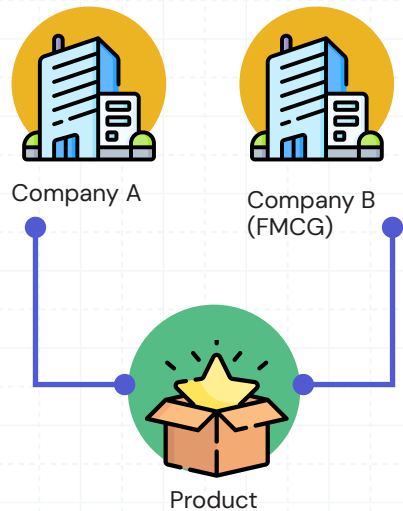
Sell without
fluctuations in demand

Sell more

PRICING POWER

When a company has a competitive advantage in the form of a better reputation or market leadership, it might have a high pricing power. What this means is that the company can freely set higher prices without fearing significant loss of demand, or set such low prices that they cannot be imitated by competitors.

Having a competitive advantage in the form of pricing power is a huge plus for a company since it allows the company to essentially dictate what happens in a particular market.



Example

For example, a lot of legacy fast-moving consumer goods (FMCG) companies have huge pockets. If a newcomer tries to invade their market share the legacy FMCG companies can start off a price war.